

Call 1 — NAV workflow review with a fund manager

Anonymised call transcript

Anonymised and condensed. Speakers are labelled by role. Covers roughly the first third of the call; the remainder was not retrievable.

Ylookup	The intention today was to show you the NAV workflow built on the data you sent over. Just to confirm — this is the NAV your fund administrator prepared for the most recent half-year?
Fund Manager	That is correct.
Ylookup	How long does it take them to prepare it?
Fund Manager	They usually turn a version around in a couple of days, which I know is slow relative to what your agents do. The real problem is that it took six or seven turns to get there. That is the problem I am trying to solve. Nothing is ever right first time.
Fund Manager	If I look at the folder this came from, the process started when we sent them the financials, and just going by the version dates it took a week and a half. The statement of operations took a while to get right as well.
Ylookup	How does it end up taking that many turns?
Fund Manager	Take the first draft of our annual financial statements. In the prior period we had a subsequent event — we did a deal between the fiscal close and the financials coming out. So it needed to move out of subsequent events and into the portfolio section.
Fund Manager	The first draft I get, the subsequent events section is still there. The date has simply been rolled forward by a year. The text says the fund closed such-and-such a deal, and the prior-year date has become the current-year date. Nothing else changed.
Ylookup	Wow.
Fund Manager	Then it took a while to get it into the portfolio company section correctly, because at that point all of the surrounding text refers to a portfolio company. You need small but pervasive adjustments so it reads properly. Those were missing, so we had to go through it again.
Fund Manager	Then there is the investor reporting. One of our investors has a side letter where the management fee counts against their called capital. They consistently got that calculation wrong, and we had to get a senior manager involved to explain how it should flow. They corrected it and resent.
Fund Manager	From a quality control perspective there just is not any. I do not think it even needs frontier-level intelligence to catch. Frankly I no longer read what they send. I put it through an AI coding tool first, and it produced a forty-point memo of what was wrong.
Ylookup	So the underlying issue is that they have not taken the key data from the partnership agreement, the side letters, or the portfolio activity and subsequent events — even though all of that is documented on your side?

Fund Manager	Two things. This fund fits in a human context window, let alone a model context window — it is thirty investors, twenty-nine of them identical plus the general partner. So the issue is not data intake, it is processing. Understanding how it is supposed to work and then making it work that way.
Fund Manager	And then there is a quality control gap where nobody reads it and asks whether this number foots to that number. How does my balance sheet have nothing in common with my equity balance? In reality you could build a bridge between the two. That is what I built with the AI tool — it constructs those bridges itself, or rebuilds them in reverse. Nobody at the administrator is doing that, and that is what creates the review burden.
Fund Manager	Which raises the question of whether I should be building software to check my own fund administrator.
Ylookup	That is the key point. So this half-year NAV is being prepared now?
Fund Manager	I have to do the valuations — we do those ourselves, and they are quick because we use a standard template. The other thing I have to do is reconcile expenses. That is on me rather than the administrator, because I am generally the only person who knows what every meeting was for, and the expense allocations across the management company, the fund and the portfolio companies have to be done by me.
Fund Manager	Once the valuations are done we submit to the administrator, they work on it, and the iteration loop starts.
Ylookup	And the pain point is not the initial delay.
Fund Manager	No. The delay is the loop. And I cannot trust any number I get from them, so I have to check everything, which adds its own iteration.
Fund Manager	One of our investors told us he had a problem with his reporting from the same administrator. He used to run a large investment firm, and his view was that any outsourced fund administrator would be this bad. So it sounds like a pervasive issue.
Ylookup	They rely on the same infrastructure, which is human labour, and humans get tired and avoid the hard work. It is a common theme.
Ylookup	So it would be interesting to take this half-year NAV, do the work, and see whether we can save you those iterations. We could even deploy it so you can run it yourself, although ultimately you would rather not have to.
Ylookup	Before the demo — what does the turnaround look like when you go back to them with a review?
Fund Manager	About a day to two days. They work hard and they work late. The distinction is between the turn and the final product. Nothing is ever done in one turn; it is usually three. In this case it was six.
Fund Manager	There is the big first turn, which is always a disaster. Then a couple to solve the obvious problems, which never get solved right away. Then you run another thorough check, and that usually surfaces a second problem of scale that was hidden by the first set. Then one or two more turns fixing that, and you are done.
Fund Manager	As a user I am not sensitive to whether a turn took them an hour or forty-eight hours. What I care about is the count of turns. That is the drag on my time.

Ylookup

Is that because reviewing takes you a long time? You mentioned you use an AI tool to help review their output.

Fund Manager

I have a thirteen-page review pack the tool prepares, so that has saved time. But conceptually this is not complicated — there are just a lot of numbers on the page. At the end of the day I am reporting that to my investors, so accuracy matters.